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Secure Distribution Venture Pvt. Ltd.

What is Tender BG Structures under Non-Fund Based Facilities?

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Executive Summary & Document Overview

This white paper reference textbook provides a comprehensive, institutionally rigorous analysis of **Tender Bank Guarantee (Tender BG) Structures**—commonly designated in global and domestic trade finance as **Bid Bonds** or **Earnest Money Deposit (EMD) Bank Guarantees**—issued under **Non-Fund Based (NFB) Credit Facilities** in India. Engineered for corporate CFOs, commercial bankers, credit underwriters, EPC contractors, project finance attorneys, and finance professionals, this document serves as an exhaustive reference manual covering product mechanics, legal frameworks, underwriting formulas, risk mitigation, and mathematical financial engineering.

In public and private commercial contracting across India—spanning National Highways Authority of India (NHAI) road projects, Metro Rail expansions, SECI solar power tenders, PGCIL power transmission lines, and municipal infrastructure tenders—employers and tender-inviting authorities mandate that bidders submit a financial commitment equal to **1% to 5% of the estimated project value** as Earnest Money Deposit (EMD). Historically, submitting physical Cash Demand Drafts (DDs) locked up thousands of crores in liquid working capital for 3 to 12 months during bid evaluation, severely restricting contractor bidding capacity.

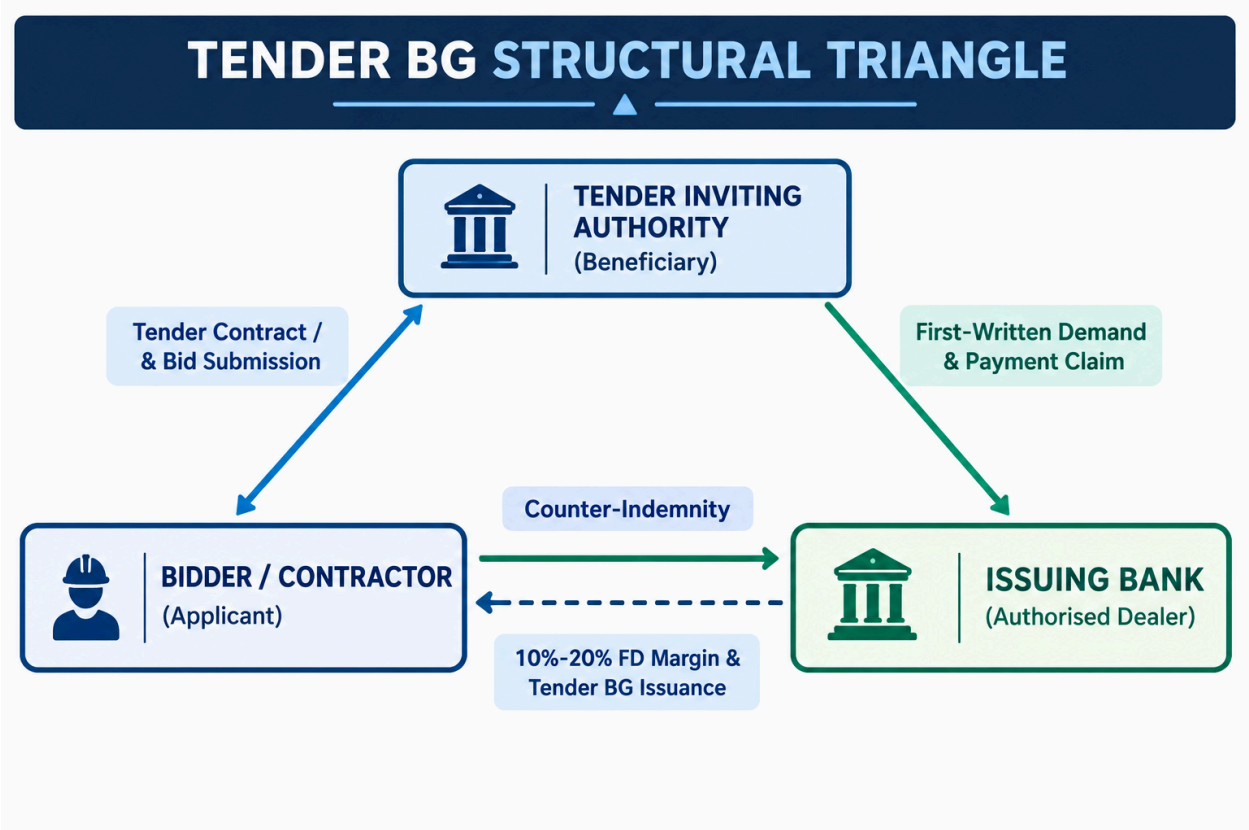
Tender BG Structures resolve this capital bottleneck by substituting physical cash deposits with an **autonomous, irrevocable, first-written-demand non-fund bank undertaking**. Under this structure, the issuing bank commits to pay the tender authority an agreed sum if the bidder withdraws their bid during the validity period, fails to accept the Letter of Award (LoA), or fails to submit the required Performance Bank Guarantee (PBG). Sized under a **50% Credit Conversion Factor (CCF)** under Reserve Bank of India (RBI) Basel III capital adequacy guidelines, Tender BGs represent an off-balance sheet contingent facility that preserves 85% to 90% of the bidder’s liquid cash reserves while enabling multi-project concurrent bidding.

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Module 1: Product Overview & Core Fundamentals

1.1 Definition & Legal Character of Tender Bank Guarantees

A **Tender Bank Guarantee (Tender BG)**, also termed a **Bid Bond** or **EMD Guarantee**, is a non-fund-based credit facility issued by a Scheduled Commercial Bank or Financial Institution on behalf of a bidder (the Applicant) in favor of a tender inviting authority or project employer (the Beneficiary). Under this instrument, the issuing bank provides an irrevocable, independent commitment to pay a specified sum of money to the beneficiary upon receipt of a first written demand stating that the bidder has committed a breach of tender conditions.



The core legal character of a Tender BG rests on the **Principle of Autonomy**. The guarantee contract between the issuing bank and the beneficiary is legally distinct and severed from the underlying tender bid or commercial dispute between the bidder and the tender authority. The issuing bank's obligation to honor a demand is absolute, provided the demand strictly complies with the terms stated in the guarantee text.

1.2 Core Commercial Objectives & Functions

The primary commercial objectives of Tender BG structures in Indian corporate finance include:

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1. **Elimination of Cash EMD Capital Lockup**: Replaces physical Cash Demand Drafts, allowing contractors to retain 100% of their operational liquidity for active project execution rather than freezing cash in government escrow accounts during 6-to-12 month tender evaluation cycles.
2. **Bidder Credibility & Qualification Screening**: Serves as an institutional filter. Because banks subject applicants to rigorous credit appraisal before issuing a Tender BG, project employers receive implicit assurance that the bidder possesses valid financial standing and corporate backing.
3. **Prevention of Frivolous & Speculative Bidding**: Deters non-serious contractors from submitting artificially low or speculative bids, as bid withdrawal or failure to execute the contract results in immediate guarantee invocation and financial forfeiture.
4. **Multiplier Effect on Bidding Capacity**: Enables mid-market and large EPC contractors to bid for 5x to 10x more projects concurrently within their approved non-fund-based credit limit, dramatically expanding their order book potential.

1.3 Regulatory Classification & Basel III Capital Treatment

Under Reserve Bank of India (RBI) prudential guidelines and international Basel III capital frameworks, Tender BGs are categorized as **Transaction-Related Contingent Items / Performance-Related Off-Balance Sheet Liabilities**.

- **Credit Conversion Factor (CCF)**: Tender BGs carry a **50% CCF**, compared to a 100% CCF for Financial Bank Guarantees (FBGs) or Direct Credit Substitutes. This means that for capital adequacy calculation purposes, a ₹10.0 Crore Tender BG exposure is converted into a ₹5.0 Crore Risk-Weighted Asset (RWA) equivalent on the issuing bank's balance sheet.
- **Capital Adequacy Impact**: The 50% CCF classification lowers the bank's capital charge, allowing lenders to offer competitive pricing (typically 0.50% to 1.75% p.a. commission) and lower cash margin requirements (10% to 20% FD margin) compared to fund-based loans.
- **Off-Balance Sheet Reporting**: For the corporate borrower, Tender BGs are disclosed in the Notes to Accounts as **Contingent Liabilities** under Ind AS 37 / AS 29, leaving main balance sheet leverage metrics (such as Debt-to-Equity and Net Debt) unburdened.

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Module 2: Structural Architecture & Operational Lifecycle Workflow

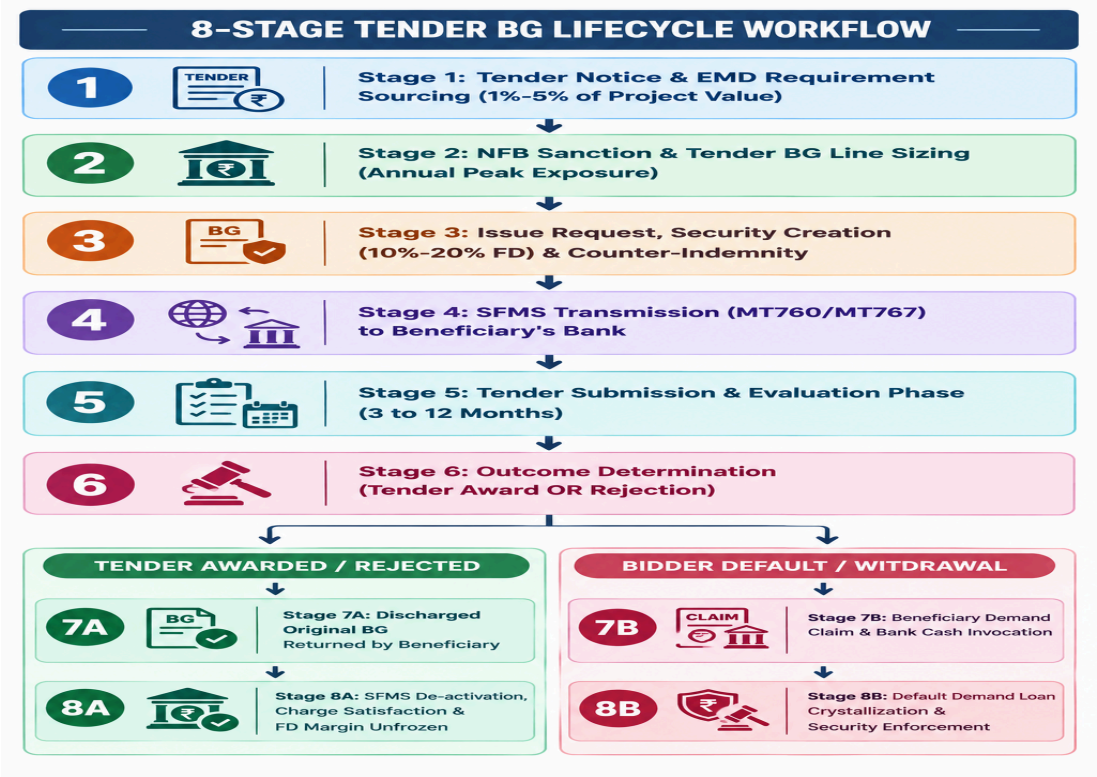
2.1 The Tripartite Relationship

Tender BG structures operate strictly through a three-party legal framework:

1. **The Applicant (Bidder / Contractor)**: The corporate entity or consortium submitting the tender bid. The applicant requests the issuing bank to establish the guarantee, provides counter-indemnity, and pledges collateral/cash margin.
2. **The Beneficiary (Tender Inviting Authority / Employer)**: The government department, PSU, or private corporate owner issuing the Notice Inviting Tender (NIT). The Beneficiary holds the guarantee instrument and possesses the right to demand payment in the event of bidder default.
3. **The Issuing Bank (Guarantor)**: A Scheduled Commercial Bank or Financial Institution that issues the guarantee instrument, undertaking an unconditional obligation to pay the beneficiary upon demand.

2.2 The 8-Stage Operational Lifecycle Workflow

The complete operational lifecycle of a Tender BG spans eight sequential phases from initial tender notice to final release or invocation:



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Detailed Stage Breakdown:

1. **Stage 1: Tender Notice & EMD Sourcing**: The contractor identifies a Notice Inviting Tender (NIT) requiring a 1%–5% EMD Tender BG with a specific validity period (e.g., 180 days).
2. **Stage 2: Credit Facility Sizing**: The contractor applies to its lead bank for an annual revolving **Non-Fund Based Tender BG Line** sized to cover peak concurrent tender bidding needs.
3. **Stage 3: Security & Issue Execution**: Upon identifying a specific tender, the contractor submits a BG Application, executes a Counter-Indemnity Deed under Section 124 of the Indian Contract Act 1872, and pledges a 10%–20% Cash Fixed Deposit Receipt (FDR) as primary margin.
4. **Stage 4: SFMS Electronic Issuance**: The issuing bank generates the physical BG text on stamped paper and transmits an encrypted electronic copy via the **Structured Financial Messaging System (SFMS)** using **SWIFT MT760 / SFMS IFN760** messages directly to the beneficiary's designated bank branch.
5. **Stage 5: Tender Evaluation Phase**: The tender authority holds the BG during technical and financial bid evaluation (typically 90 to 180 days).
6. **Stage 6: Outcome Determination**:
   - *Scenario A (Bid Awarded)*: The successful bidder receives a Letter of Award (LoA), executes the contract, and submits a Performance Bank Guarantee (PBG).
   - *Scenario B (Bid Rejected)*: Unsuccessful bidders are eliminated during evaluation.
   - *Scenario C (Bidder Default)*: The bidder attempts to modify/withdraw their bid during validity, refuses to accept the LoA, or fails to submit the required PBG.
7. **Stage 7: Discharge or Invocation**:
   - *Path 7A (Discharge)*: Upon contract signing or bid rejection, the beneficiary issues a formal discharge letter and returns the original physical BG paper to the issuing bank.
   - *Path 7B (Invocation)*: In Scenario C, the beneficiary submits a written invocation demand stating bidder breach before guarantee expiry.
8. **Stage 8: Cancellation or Default Crystallization**:
   - *Path 8A (Cancellation)*: The issuing bank cancels the BG line via SFMS MT767, releases the FD margin lien, and restores the borrower's credit limit.

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- *Path 8B (Crystallization)*: The bank pays the beneficiary within 24–48 hours, crystallizes the payment into an overdue Fund-Based Default Demand Loan against the bidder, and enforces collateral security.

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Module 3: Comparative Capital Architecture Matrix

To understand the strategic positioning of Tender BG Structures within corporate treasury and trade finance, the matrix below compares six primary bidding and security instruments across ten core operational parameters.

Structural Parameter	Tender Bank Guarantee (Bid Bond)	Physical Cash EMD / Demand Draft	Performance Bank Guarantee (PBG)	Financial Bank Guarantee (FBG)	IRDAI Insurance Surety Bid Bond	Standby Letter of Credit (SBLC)
Primary Commercial Purpose	Secures tender bidding integrity & prevents bid withdrawal	Direct cash deposit securing tender bid submission	Secures post-award contract execution & COD timeline	Guarantees direct financial payment or tax obligations	Non-bank insurance bond securing tender bidding	Global multi-purpose credit enhancement backing bid or loan
Fund vs Non-Fund Nature	Non-Fund Based (Contingent Facility)	Fund-Based (100% Cash Outflow)	Non-Fund Based (Contingent Facility)	Non-Fund Based (Contingent Facility)	Non-Fund Insurance Instrument	Non-Fund Based (Contingent Facility)
Cash Capital Lockup	Minimal (10%–20% FD Margin)	Extreme (100% Cash Equity Frozen)	Minimal (10%–25% FD Margin)	Moderate (15%–30% FD Margin)	Zero Cash Margin (Rating-based)	Moderate (15%–25% FD Margin)
Annual Pricing / Commission	0.50% – 1.75% p.a.	Zero fee, but 10%–14% Opportunity Cost	0.75% – 2.25% p.a.	1.00% – 2.50% p.a.	1.00% – 2.00% Premium	1.00% – 2.25% p.a.
Credit Conversion Factor (CCF)	**50% CCF** (Transaction-related)	N/A (Direct Balance Sheet Cash)	**50% CCF** (Transaction-related)	**100% CCF** (Direct Credit Substitute)	N/A (Off-Balance Sheet Insurance)	**50% or 100% CCF** (Depending on type)

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Structural Parameter	Tender Bank Guarantee (Bid Bond)	Physical Cash EMD / Demand Draft	Performance Bank Guarantee (PBG)	Financial Bank Guarantee (FBG)	IRDAI Insurance Surety Bid Bond	Standby Letter of Credit (SBLC)
Indicative Tenure	3 to 12 Months (Tender evaluation)	3 to 12 Months (Tender evaluation)	1 to 5 Years (Execution + DLP)	1 to 3 Years (Financial obligation)	3 to 12 Months (Tender evaluation)	1 to 3 Years (Revolving)
Typical Value Range	1% to 5% of Estimated Project Value	1% to 5% of Estimated Project Value	5% to 10% of Contract Price	100% of Financial Commitment	1% to 5% of Estimated Project Value	Variable (Customized)
Invocation Conditions	Unconditional First-Demand on Bid Default	Immediate Forfeiture by Employer	Unconditional First-Demand on Execution Default	Unconditional First-Demand on Payment Default	Conditional or Loss-Proven Demand	Unconditional First-Demand under ISP98
Collateral Requirements	10%–20% FD + Current Asset Charge	None (100% Cash Paid Upfront)	10%–25% FD + Project Asset Charge	15%–30% FD + Real Estate Mortgage	Enterprise Financial Rating & Indemnity	15%–25% FD + Corporate Guarantee
Balance Sheet Treatment	Off-Balance Sheet Contingent Liability	Current Asset Reduction / Cash Outflow	Off-Balance Sheet Contingent Liability	Off-Balance Sheet Contingent Liability	Off-Balance Sheet Contingent Liability	Off-Balance Sheet Contingent Liability

Key Takeaway: Tender BGs require only a 10%–20% cash FD margin and carry a **50% CCF**, enabling contractors to preserve 80%–90% of their liquid cash compared to physical Cash EMDs while avoiding the 100% CCF capital charges associated with Financial BGs.

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Module 4: Statutory Legal & Regulatory Framework

Tender BG Structures in India operate within a sophisticated legal architecture governed by statutory contract law, company legislation, credit bureau rules, and landmark Supreme Court jurisprudence.

4.1 Statutory Provisions under Indian Contract Law

1. **Section 126 of the Indian Contract Act, 1872 (Contract of Guarantee)**: Defines a guarantee as a contract to perform the promise or discharge the liability of a third person in case of default. It establishes the tripartite legal relationship between the Bidder (Principal Debtor), the Issuing Bank (Surety), and the Tender Inviting Authority (Creditor).
2. **Section 124 of the Indian Contract Act, 1872 (Contract of Indemnity)**: Governs the **Counter-Indemnity Deed** executed by the bidder in favor of the issuing bank. Under Section 124, the bidder promises to save the issuing bank harmless against any loss, claim, or damage suffered as a result of issuing the Tender BG.
3. **Section 128 of the Indian Contract Act, 1872 (Co-extensive Liability)**: Mandates that the liability of the surety (issuing bank) is co-extensive with that of the principal debtor (bidder), unless otherwise provided by the guarantee contract. However, in unconditional on-demand Tender BGs, the bank's liability is independent and primary.
4. **Section 140 of the Indian Contract Act, 1872 (Right of Subrogation)**: Upon paying the beneficiary following an invocation, the issuing bank steps into the shoes of the beneficiary and inherits all legal rights and remedies to recover the paid amount from the bidder.

4.2 Corporate Governance & Statutory Registration Compliance

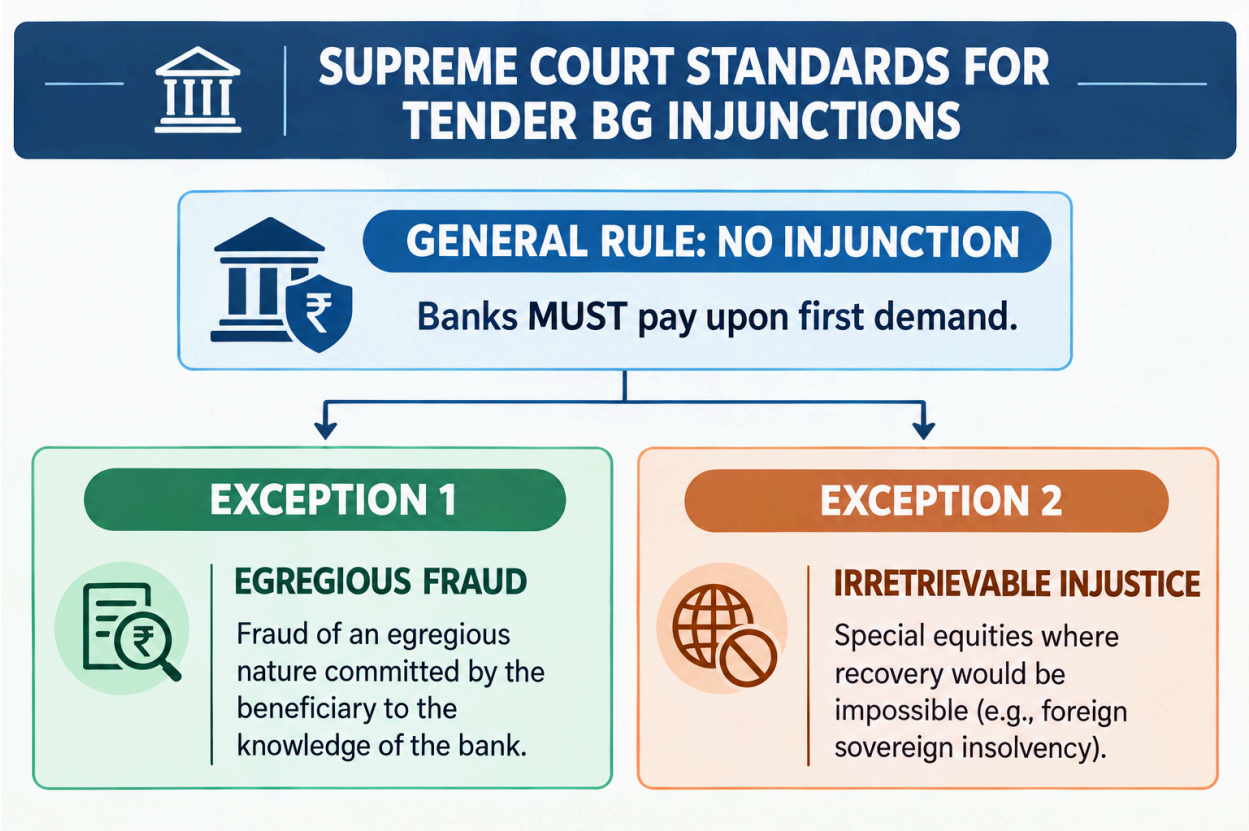
- **Section 77 of the Companies Act, 2013 (ROC Charge Registration)**: Where a corporate bidder creates a charge over its assets (such as a second charge on current assets or cash FD margin) to secure a Non-Fund Based Tender BG Line, the charge must be registered with the Registrar of Companies (ROC) by filing **Form CHG-1 within 30 days** of creation.
- **CERSAI & NeSL Registration**: Security interests created over immovable or movable assets to secure NFB lines must be registered on the Central Registry of Securitisation Asset Reconstruction and Security Interest (CERSAI) portal and recorded in the Information Utility under the Insolvency and Bankruptcy Code (IBC) 2016 via **National E-Governance Services Limited (NeSL)**.

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4.3 Landmark Supreme Court Jurisprudence on Injunctions

Because Tender BGs are unconditional on-demand instruments, bidders frequently seek court injunctions under Section 9 of the Arbitration and Conciliation Act, 1996 or Order 39 of the Code of Civil Procedure (CPC) to restrain banks from paying beneficiaries during tender disputes.

The Supreme Court of India has established strict, settled law across landmark rulings (*Svenska Handelsbanken v. Indian Charge Chrome*, *U.P. State Sugar Corporation v. Sumac International*, and *Himadri Chemicals Industries Ltd. v. Coal Tar Refining Co.*):



1. **The Autonomy Rule**: An unconditional Tender BG is an independent contract. Courts will **NOT** grant injunctions restraining bank payments simply because a dispute exists regarding whether the bidder breached tender conditions.
2. **Exception 1 — Egregious Fraud**: Injunctions are granted ONLY if the bidder proves fraud of an egregious nature committed by the beneficiary in establishing or invoking the guarantee, where the issuing bank is aware of the fraud.
3. **Exception 2 — Irretrievable Injustice / Special Equities**: Injunctions are granted ONLY if paying the guarantee would cause irretrievable harm or irretrievable injustice to the bidder, such as where the beneficiary is an insolvent foreign entity from whom recovery would be impossible.

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Module 5: Underwriting Framework, Sizing Formulas & Institutional Metrics

Credit underwriting for Non-Fund Based Tender BG lines differs fundamentally from fund-based term loan underwriting. Because the lender's exposure is contingent upon bidder default during tender evaluation, underwriters evaluate both financial solvency and **technical execution capability**.

5.1 Financial Underwriting Metrics & Target Ratios

Commercial banks evaluate corporate bidders against five key financial benchmark ratios before sanctioning a revolving Non-Fund Based Tender BG Limit:

1. **Tangible Net Worth (TNW)**: Minimum TNW of ₹5.0 Crores for mid-market contractors and ₹50.0 Crores+ for tier-1 infrastructure EPC firms to absorb potential guarantee forfeiture liabilities.
2. **Total Outside Liabilities to Tangible Net Worth (TOL/TNW)**: Target TOL/TNW ratio of **≤2.50:1 to 3.00:1**. High leverage signals elevated risk of financial distress during tender execution.
3. **Current Ratio**: Target ratio of **≥1.33:1** aligned with Tandon Committee Second Method of Working Capital Assessment, ensuring adequate short-term liquidity.
4. **Interest Coverage Ratio (ICR)**: Target ICR of **≥2.50x**, demonstrating robust operating earnings (EBITDA) to service debt outlays.
5. **CIBIL Commercial Rank (CMR)**: Target rank between **CMR 1 and CMR 4**, reflecting pristine credit history and zero default instances.

5.2 Non-Fund Based Line Sizing Formulas

To determine the appropriate size of a revolving Tender BG Limit for a contractor, credit underwriters apply mathematical sizing models based on annual tender bidding projections and evaluation cycles.

Formula 1: Peak Tender Exposure Sizing Model

extSanctionedTenderBGLine=extAnnualTargetedBidTurnoverimesextAverageEMDRate%imes(racex tAverageEvaluationCycleMonths12ight)

Example: If an EPC contractor plans to bid for ₹2,000 Crores in tenders annually, with an average EMD requirement of 3% and an average tender evaluation cycle of 6 months (0.50 years):

$$extSanctionedTenderBGLine = ₹2,000extCroresimes3\%imes0.50 = ₹30.00extCrores$$

Formula 2: Cash FD Margin Sizing Model

extRequiredCashFDMargin=extTenderBGLimitimesextAssessedMarginPercentage10%–20%

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extFora₹30.00CrLineat15%Margin:extFDMargin=₹30.00extCrimes15%=₹4.50extCrore



5.3 Technical Execution Audit & Pre-Qualification Verification

Unlike pure financial loans, credit sanction for Tender BG lines requires a **Technical Capability Audit**:

- **Order Book & Track Record**: Review of completed projects over the past 3–5 years to ensure the bidder satisfies Notice Inviting Tender (NIT) pre-qualification criteria (e.g., having executed at least one similar project worth 80% of tender value).
- **Lender's Independent Engineer (LIE) Report**: For large infrastructure tenders (>₹500 Crores), an LIE report verifies equipment availability, technical manpower, and project management software.

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- **Bidding History & Success Rate**: Examination of historical bid-to-win ratios and past instance review to confirm the bidder has never faced bid forfeiture or blacklisting by government authorities.

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Module 6: Security Architecture, Documentation & Legal Covenants

6.1 Primary & Collateral Security Structure

Tender BG lines are secured through a multi-tiered asset charge structure:

1. **Primary Security**: Exclusive lien and pledge over **10% to 20% Cash Fixed Deposit Receipts (FDRs)** held with the issuing bank under Section 172 of the Indian Contract Act, 1872. The bank retains original FDR physical copies with auto-renewal covenants.
2. **Collateral Security**:
    - Second charge on current assets, work-in-progress (WIP), and trade receivables.
    - Personal Guarantees of promoter-directors and Corporate Guarantees of parent/holding companies.
    - Second mortgage on commercial/industrial real estate under Section 58(f) of the Transfer of Property Act, 1882.

6.2 Master Documentation Checklist

A complete Tender BG Facility execution package requires seven mandatory legal documents:

1. **Master Non-Fund Based Facility Agreement**: Defines sanctioned limit terms, revolving rules, commission rates, and events of default.
2. **Counter-Indemnity Deed**: Unconditional undertaking executed under Section 124 of the Indian Contract Act, 1872, binding the contractor to indemnify the bank against all losses resulting from guarantee issuance.
3. **Board Resolutions**: Formal corporate resolutions passed under Sections 179, 180(1)(c), and 186 of the Companies Act 2013 authorizing borrowing limits and guarantee execution.
4. **Pledge & Lien Marking Deed**: Agreement creating an explicit bank lien over Cash FDRs with interest auto-credit covenants.
5. **Notice Inviting Tender (NIT) Copy**: Official tender document confirming specified EMD amount, beneficiary name, format, and validity period.
6. **Demand Promissory Note (DPN) & Pre-Signed NACH/Cheques**: Security instruments enabling summary recovery under Section 138 of the Negotiable Instruments Act, 1881 or Section 25 of the Payment and Settlement Systems Act 2007 upon default.

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7. **SFMS Transmission Confirmation Sheet**: System-generated SWIFT MT760 / SFMS IFN760 confirmation confirming electronic guarantee delivery to the beneficiary's bank branch.

6.3 Operational Covenants & SFMS Delivery Validation

- **SFMS Mandate**: In compliance with RBI guidelines, physical Tender BGs issued without matching electronic SFMS confirmation (IFN760 message) are deemed invalid by government beneficiaries.
- **Discharge Tracking Covenant**: The contractor covenants to submit original discharged physical BGs or official tender rejection certificates within **30 days** of tender outcome determination to unfreeze cash FD margins.

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Module 7: Indicative Tenures, Pricing Mechanics & Tax Shields

7.1 Indicative Tenures & Extension Protocols

- **Standard Validity Period**: Tender BGs are issued for short tenures matching Notice Inviting Tender (NIT) requirements—typically **3 to 12 months** (90, 180, or 365 days).
- **Claim Period**: Banks typically include a **30-to-90 day claim period** post-expiry, during which the beneficiary may submit invocation demands for defaults occurring prior to the expiry date.
- **Extension Protocols (SFMS MT767)**: If tender evaluation is delayed by the employer, the bidder requests an extension via SWIFT/SFMS MT767. If the bidder refuses to extend validity while the tender remains active, the employer may invoke the BG for bid forfeiture.

7.2 Commission & Fee Structure

The overall fee structure for a Non-Fund Based Tender BG Facility comprises three elements:

1. **Annual Guarantee Commission**: Charged pro-rata on guarantee face value, ranging from **0.50% to 1.75% p.a.** depending on applicant credit rating, FD margin percentage, and collateral quality.
2. **Upfront Processing Fee**: Nominal fee ranging from **0.10% to 0.25%** or a fixed fee per instrument (₹2,500 to ₹10,000).
3. **SFMS Transmission Charges**: Fixed messaging fee of ₹500 to ₹1,500 per SFMS IFN760 transmission.

7.3 Tax Shields & Financial Arbitrage Mechanics

Tender BG Structures offer significant corporate tax and cash flow optimization benefits:

1. Section 37(1) Income Tax Shield

Under Section 37(1) of the Income Tax Act, 1961, bank guarantee commissions and processing fees are fully tax-deductible as business operating expenses. At the standard corporate tax rate of **25.168%** (22% tax + 10% surcharge + 4% cess under Section 115BAA):

$$extNetPost - TaxCommissionYield = extNominalRateimes(1 - 0.25168)$$

$$\text{extFora1.00\%p.a.GuaranteeCommission:extPost−TaxYield=1.00\%imes0.74832=0.7483\%extp.a.}$$

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2. GST Input Tax Credit (ITC) Recovery

Bank guarantee commission and processing charges attract 18% Goods and Services Tax (GST). Under Section 16 of the Central Goods and Services Tax (CGST) Act, 2017, commercial bidders recover **100% of this GST as Input Tax Credit (ITC)** against outward GST liabilities, reducing net tax drag to zero.

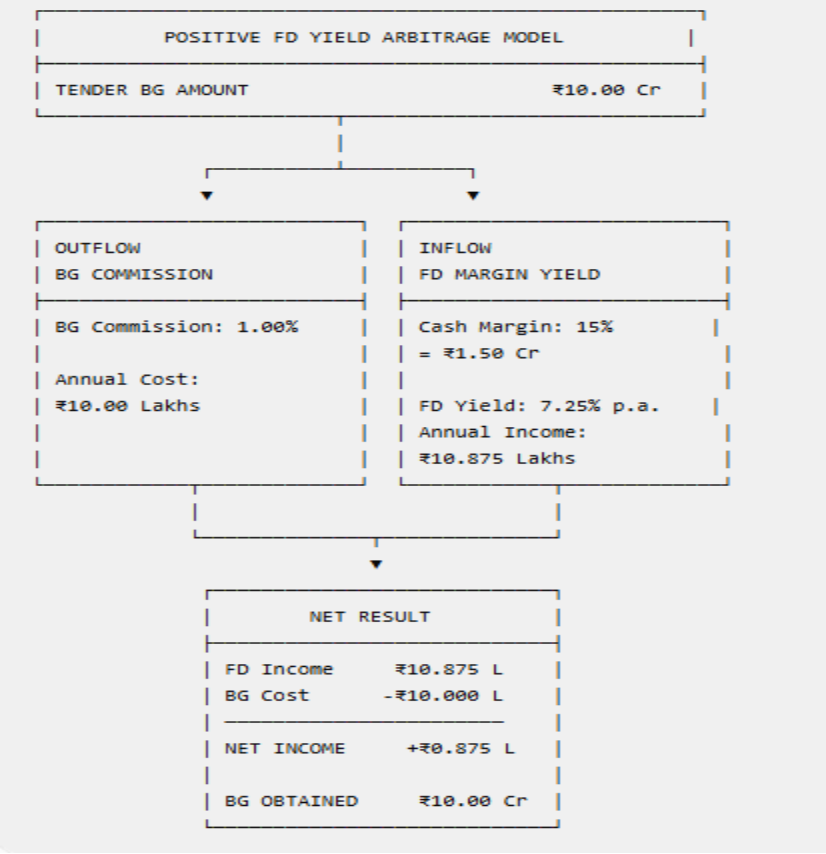
3. Positive FD Yield Arbitrage Model

Because banks require only a 10% to 20% Cash Fixed Deposit margin for Tender BG lines, the interest earned on the cash FD frequently **exceeds the total guarantee commission fee**, creating a **Net Positive Yield** for the bidder!

$$extAnnualNetCost/Yield = extTenderBGCommissionFee - extFDMarginInterestEarned$$

Arbitrage Calculation Example: - Sanctioned Tender BG Amount: **₹10.00 Crores** - Annual BG Commission Rate (1.00% p.a.): **₹10.00 Lakhs Outflow** - Cash FD Margin Required (15% = ₹1.50 Crores) earning 7.25% p.a. Interest: **₹10.875 Lakhs Inflow**

$$extNetAnnualArbitrageResult = ₹10.00 extLakhs Outflow - ₹10.875 extLakhs Inflow = -₹0.875 extLakhs NET PROFIT ! collateral$$



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Module 8: Suitable Sectors, Borrower Profiles & Market Footprint

8.1 Target Industry Verticals & Borrower Profiles

Tender BG Structures are essential for corporate entities participating in competitive public and private bidding across major Indian sectors:

1. **EPC Infrastructure & Highway Construction**: Contractors bidding for NHAI, MSRDC, and State PWD road, bridge, and expressway tenders.
2. **Urban Transit & Metro Rail Systems**: Engineering firms bidding for underground tunneling, elevated viaducts, rolling stock, and signaling contracts (DMRC, MMRC, BMRCL).
3. **Renewable Energy & Power Generation**: Solar PV, wind, and hybrid IPPs bidding in SECI, NTPC, and state DISCOM tariff-based competitive auctions.
4. **Power Transmission & Distribution**: Manufacturers and turnkey contractors bidding for PGCIL extra-high-voltage substations and transmission lines.
5. **Defense, Heavy Engineering & Mining**: Equipment manufacturers and mining contractors bidding for Ministry of Defence, Coal India, and PSU equipment contracts.
6. **Water Supply & Smart Infrastructure**: Contractors bidding for Jal Jeevan Mission, AMRUT 2.0, and municipal water treatment plants.

8.2 National Footprint & Economic Impact

In the Indian financial system, non-fund-based credit facilities exceed **₹15.0 Lakh Crores**, with Tender BGs accounting for a vital segment. By replacing physical cash EMDs, Tender BGs liberate over **₹75,000+ Crores in liquid working capital** annually across Indian infrastructure and manufacturing firms, accelerating public procurement and economic growth.

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Module 9: Key Advantages, Limitations & Risk Mitigation Framework

9.1 Strategic Advantages for Corporate Bidders

1. **Working Capital Preservation**: Replaces physical cash deposits with non-fund guarantees, preserving 85% to 90% of liquid corporate cash for project execution.
2. **Multi-Project Bidding Scale**: Enables contractors to bid for 5x to 10x more tenders simultaneously within their sanctioned revolving NFB limit.
3. **Positive Arbitrage Yield**: FD margin interest earned (7.00%–7.50% p.a.) frequently exceeds guarantee commission fees (0.50%–1.50% p.a.), generating a net positive financial yield.
4. **Enhanced Tender Credibility**: Demonstrates robust institutional banking support to project owners, satisfying Notice Inviting Tender (NIT) qualification criteria.

9.2 Key Limitations & Risk Dynamics

1. **Forfeiture & Invocation Risk**: If the bidder modifies their bid, withdraws during validity, or fails to execute the contract / submit PBG upon award, the employer will forfeit the Tender BG.
2. **Forced Demand Loan Crystallization**: Upon a valid invocation demand, the issuing bank pays the beneficiary immediately and crystallizes the payment into an overdue **Fund-Based Demand Loan** against the bidder, carrying penal interest (18%–24% p.a.).
3. **SFMS Transmission Dependencies**: Technical mismatches in electronic SFMS transmission messages between issuing and beneficiary banks can cause automatic tender disqualification.

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Module 10: Comprehensive Real-World Case Study (Indian Rupee Models)

To illustrate the strategic and financial impact of Tender BG Structures under Non-Fund Based Facilities, this case study examines a major highway and urban infrastructure EPC contractor in Maharashtra.

10.1 Borrower Profile & Bidding Scope

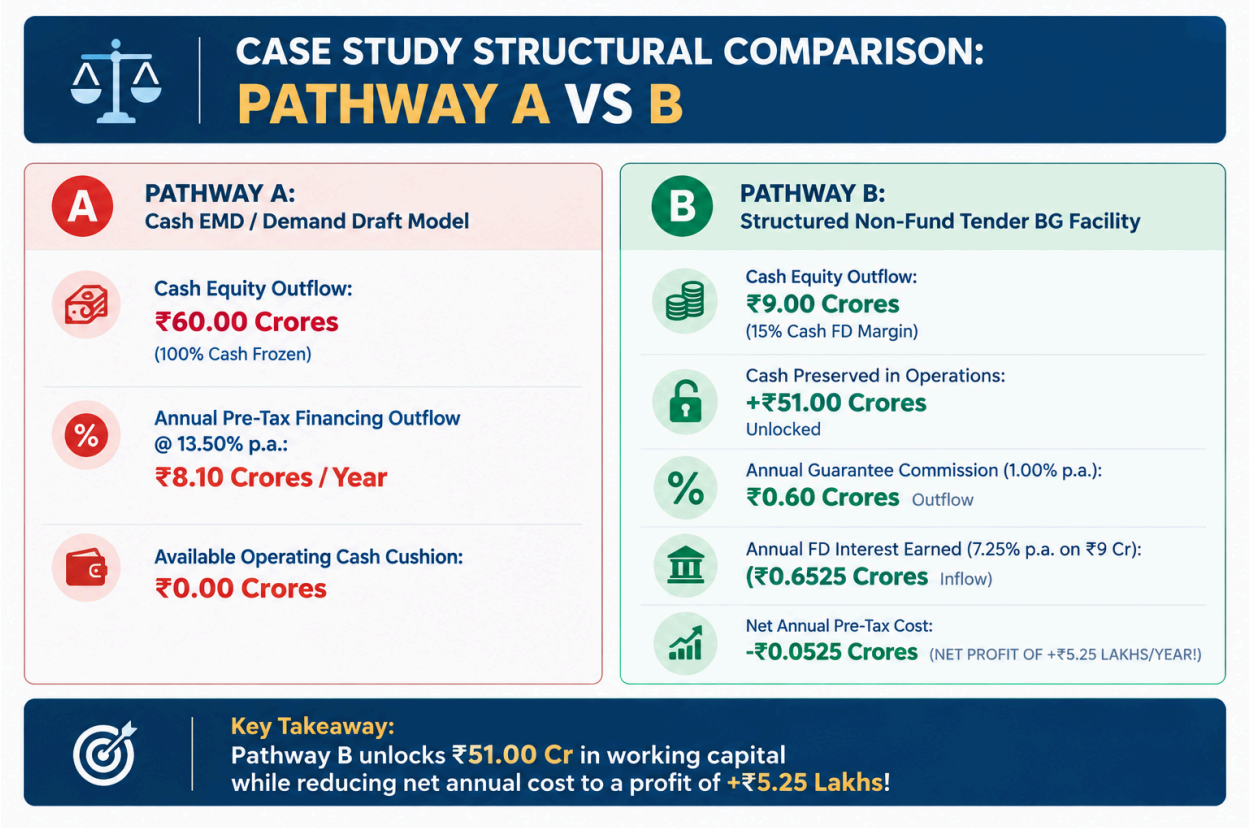
- **Borrower Entity**: *Mumbai Heavy EPC & Highway Infrastructure Pvt. Ltd. (MHEHIPL)*
- **Business Activity**: Tier-1 EPC contractor executing NHAI expressways, state highways, and urban flyover projects in Western India.
- **Annual Bidding Plan**: MHEHIPL plans to bid for 10 major public infrastructure tenders over the fiscal year, with a **Total Estimated Bid Value of ₹2,000.00 Crores**.
- **EMD Security Requirement**: Tenders mandate an average **3% Earnest Money Deposit (EMD)** with a 6-month evaluation validity period.
- **Total EMD Capital Demand**: $₹2,000.00 extCroresimes 3\% = ₹60.00 extCrores$.

10.2 Structural Comparison: Pathway A vs Pathway B

MHEHIPL evaluates two financing pathways to satisfy the ₹60.00 Crore EMD demand:

- **Pathway A (Cash EMD / Demand Draft Model)**: Funding the ₹60.00 Crores EMD through physical cash Demand Drafts, drawing 100% of the funds from a short-term Cash Credit / NBFC Line @ **13.50% p.a. interest**.
- **Pathway B (Structured Non-Fund Based Tender BG Facility)**: Securing a sanctioned revolving **Non-Fund Based Tender BG Line of ₹60.00 Crores** from an Authorised Dealer Bank at **1.00% p.a. commission**, backed by a **15% Cash FD Margin** (₹9.00 Crores FD) earning **7.25% p.a. interest**.

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10.3 Comprehensive Financial & Mathematical Modeling

1. Cash Working Capital Preservation

- Pathway A Cash Lockup: **₹60.00 Crores**
- Pathway B FD Margin Cash Lockup (15%): **₹9.00 Crores**
- **Net Cash Liquidity Preserved in Pathway B**:
  $₹60.00 extCr - ₹9.00 extCr =+ ₹51.00 extCrores$

2. Annual Pre-Tax Cost Analysis

- **Pathway A Pre-Tax Interest Outflow**:

$$extInterestOutflow = ₹60.00 extCr esimes 13.50\% = ₹8.10 extCrores/Year$$

- **Pathway B Net Pre-Tax Outflow**:

$$extAnnualBGCommission(1.00\% on ₹60 Cr) = ₹0.6000 extCr es Outflow$$

$$ ext{SFMS & Processing Amortization} = ₹0.0050 ext{ Crores Outflow}$$

$$extLessFDInterestIncome(7.25\% on ₹9.00 CrFD) = (₹0.6525 extCr es Inflow)$$

$$extNetPre-TaxCost = ₹0.6000 + ₹0.0050 - ₹0.6525 = -₹0.0475 extCrores/YearNETPROFIT!collateral$$

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extDirectAnnualPre−TaxCostSavings=₹8.10extCr−−₹0.0475extCr=+₹8.1475extCrores/Year

3. Section 37(1) Income Tax Shield & Post-Tax Comparison

At the standard corporate tax rate of **25.168%** (under Section 115BAA):

- **Pathway A Net Post-Tax Debt Cost**:

$$extPost - TaxCost_A = ₹8.10extCroresimes(1 - 0.25168) = ₹6.0614extCrores/Year$$

- **Pathway B Net Post-Tax Cost**:

extPost−TaxBGCommissionFee=₹0.605extCrimes1−0.25168=₹0.4527extCrores

extLessPost−TaxFDInterestEarned=₹0.6525extCrimes1−0.25168=₹0.4883extCrores

extNetPost−TaxOutcomeB=₹0.4527−₹0.4883=−₹0.0356extCrores/YearNETEARNED PROFIT!

4. Reinvestment ROCE Income on Preserved Cash

MHEHIPL deploys the preserved **₹51.00 Crores in liquid cash** into active project execution, earning a corporate Return on Capital Employed (ROCE) of **16.00% p.a.**:

extPre−TaxReinvestmentIncome=₹51.00extCroresimes16.00%=₹8.16extCrores/Year

extPost−TaxReinvestmentOperatingIncome=₹8.16extCroresimes1−0.25168=+₹6.1063extCrores/Year

5. Credit Metrics & DSCR Expansion

By replacing ₹60.00 Crores of high-cost fund-based debt with an off-balance sheet Tender BG facility, MHEHIPL eliminates ₹8.10 Crores in annual interest expenses, expanding its Debt Service Coverage Ratio (DSCR):

extDSCRPathwayA=racextEBITDA₹25.0CrextInterest₹8.10Cr+DebtPrincipal₹11.43Cr=1.28x extBORDERLINEMARGINAL

extDSCRPathwayB=racextEBITDA₹25.0Cr+NetArbitrage₹0.05CrextInterest₹1.50CrLegacy+DebtPrincipal₹11.43Cr=1.92x extPRIMEINVESTMENTGRADE

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10.4 Total Opportunity-Adjusted Net Wealth Surplus Summary

Financial & Metric Indicator	Pathway A (Cash EMD / DD)	Pathway B (Structured Tender BG)	Net Variance / Value Added
Sanctioned EMD Exposure	₹60.00 Crores	₹60.00 Crores	Neutral
Cash Capital Frozen	₹60.00 Crores	₹9.00 Crores (15% FD)	**+₹51.00 Crores Cash Preserved**
Annual Pre-Tax Financing Outlay	₹8.10 Crores Outflow	-₹0.0475 Crores Inflow	**+₹8.1475 Crores / Year Saved**
Annual Post-Tax Debt Cost	₹6.0614 Crores Outflow	-₹0.0356 Crores Inflow	**+₹6.0970 Crores / Year Saved**
Effective Net Borrowing Yield	13.50% p.a.	**-0.0792% p.a. (Net Profit)**	**Slashed by 1358 Basis Points**
Reinvestment ROCE Income (@ 16%)	₹0.00 Crores	+₹6.1063 Crores Post-Tax	**+₹6.1063 Crores / Year Income**
Operational DSCR	1.28x	**1.92x**	**Expanded Coverage (+0.64x)**
Total Net Wealth Surplus Generated	Baseline Benchmark	**+₹12.213 Crores / Year**	**+₹12.213 CRORES / YEAR SURPLUS**

Case Study Conclusion: By implementing Pathway B (Structured Non-Fund Based Tender BG Line), **MHEHIPL generated a total opportunity-adjusted net financial wealth surplus of ₹12.213 Crores per annum (+INR 12,21,30,000.00/year)** over Pathway A, preserved ₹51.00 Crores in liquid working capital, converted a ₹8.10 Crore interest expense into a net positive yield (-0.0792% p.a.), and expanded its operational DSCR to a prime **1.92x**!

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Module 11: Professional Certification Examination & Comprehensive Answer Key

This examination tests institutional comprehension of Tender BG Structures under Non-Fund Based Facilities, including statutory provisions, Basel III CCF rules, Supreme Court injunction jurisprudence, and financial arbitrage calculations.

Certification Examination Questions

Question 1

Under Reserve Bank of India (RBI) Basel III capital adequacy frameworks, what is the Credit Conversion Factor (CCF) assigned to Tender Bank Guarantees / Bid Bonds, and what is its balance sheet impact? - A) 100% CCF, resulting in direct fund-based asset classification on the main balance sheet. - B) 50% CCF, classifying the instrument as a transaction-related off-balance sheet contingent liability. - C) 20% CCF, classifying the instrument as a short-term self-liquidating trade credit. - D) 0% CCF, requiring zero risk-weighted capital allocation.

Question 2

An EPC contractor obtains a ₹20.00 Crore Tender BG with a 1.00% p.a. commission fee, backed by a 15% Cash FD margin earning 7.00% p.a. interest. What is the net annual pre-tax cost or yield for the contractor? - A) Net pre-tax cost of ₹20.0 Lakhs outflow. - B) Net pre-tax cost of ₹10.0 Lakhs outflow. - C) Net pre-tax yield of ₹1.0 Lakh profit (inflow). - D) Net pre-tax yield of ₹5.0 Lakhs profit (inflow).

Question 3

Under settled Supreme Court of India jurisprudence (*Svenska Handelsbanken* and *Himadri Chemicals*), under what specific circumstances will a court grant an injunction restraining a bank from honoring an unconditional on-demand Tender BG? - A) Whenever a commercial dispute exists regarding whether the bidder committed a tender breach. - B) Whenever the contractor files a Section 9 arbitration application asserting force majeure. - C) ONLY in cases of Egregious Fraud to the knowledge of the bank OR Irretrievable Injustice / Special Equities. - D) Whenever the contractor suffers financial hardship due to bid forfeiture.

Question 4

Which section of the Indian Contract Act, 1872 governs the Counter-Indemnity Deed executed by a corporate bidder in favor of the issuing bank when securing a Tender BG line? - A) Section 126 - B) Section 124 - C) Section 128 - D) Section 140

Question 5

Under Section 77 of the Companies Act, 2013, within what timeframe must a corporate borrower register a charge created over its current assets or cash FD margin to secure a Non-Fund Based Tender BG Line with the ROC? - A) Within 15 days of charge creation using Form CHG-4. - B) Within 30 days of charge creation using Form CHG-1. - C) Within

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60 days of charge creation using Form CHG-9. - D) No ROC registration is required for non-fund-based facilities.

Question 6

An infrastructure contractor plans to bid for ₹1,500 Crores of municipal projects annually. If the average EMD requirement is 4% and the average tender evaluation cycle is 4 months (0.333 years), what is the required Peak Sanctioned Tender BG Line? - A) ₹60.00 Crores - B) ₹40.00 Crores - C) ₹20.00 Crores - D) ₹10.00 Crores

Question 7

How are bank guarantee commission fees treated under Section 37(1) of the Income Tax Act, 1961, and what is the effective post-tax rate for a 1.25% p.a. commission at a 25.168% corporate tax rate? - A) Non-deductible capital outlays; effective post-tax rate remains 1.25% p.a. - B) Fully tax-deductible operating expenses; effective post-tax rate is 0.9354% p.a. - C) Tax-deductible up to ₹1.0 Lakh; effective post-tax rate is 1.10% p.a. - D) Amortized over 5 years under Section 35D; effective post-tax rate is 1.20% p.a.

Question 8

In Indian public procurement compliance, what electronic messaging system must issuing banks utilize to transmit Tender BGs to beneficiary banks to ensure validity? - A) Real Time Gross Settlement (RTGS) MT103 - B) Structured Financial Messaging System (SFMS) IFN760 / SWIFT MT760 - C) National Automated Clearing House (NACH) APBS - D) Core Banking Solution (CBS) NEFT

Question 9

What happens legally when a tender inviting authority submits a valid, compliant invocation demand under an unconditional Tender BG to the issuing bank? - A) The bank conducts an independent audit of project site logs before deciding whether to pay. - B) The bank files an arbitration application to determine if the bidder committed a default. - C) The bank must pay the beneficiary within 24–48 hours without requiring default proof, and crystallizes the payment into an overdue demand loan against the bidder. - D) The bank cancels the guarantee and refunds the FD margin to the bidder.

Question 10

Under Section 16 of the CGST Act, 2017, how is the 18% Goods and Services Tax (GST) charged on bank guarantee commission fees treated by a commercial bidder? - A) Taxed as a non-recoverable expense added to project cost. - B) 100% recoverable as Input Tax Credit (ITC) against outward GST liabilities. - C) Eligible for 50% partial tax credit refund. - D) Exempted under reverse charge mechanism (RCM).

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Comprehensive Certification Answer Key & Rationales

Answer 1: B

Rationale: Under RBI Basel III prudential capital rules, transaction-related contingent liabilities such as Tender BGs / Bid Bonds carry a **50% Credit Conversion Factor (CCF)**, classifying the instrument as an off-balance sheet contingent liability.

Answer 2: C

Rationale: - Gross BG Commission Outflow (1.00% on ₹20.0 Cr) = ₹20.0 Lakhs Outflow. - FD Interest Earned (7.00% on 15% FD = ₹3.0 Cr) = ₹21.0 Lakhs Inflow. - Net Annual Result = ₹20.0 Lakhs Outflow - ₹21.0 Lakhs Inflow = **-₹1.0 Lakh (Net Profit Inflow of ₹1.0 Lakh)**.

Answer 3: C

Rationale: Settled Supreme Court jurisprudence (*Svenska Handelsbanken*, *Himadri Chemicals*) dictates that courts will NOT restrain banks from honoring unconditional on-demand BGs except under two strict exceptions: **Egregious Fraud** to the knowledge of the bank, or **Irretrievable Injustice / Special Equities**.

Answer 4: B

Rationale: **Section 124 of the Indian Contract Act, 1872** governs Contracts of Indemnity, under which the contractor binds itself to indemnify and hold harmless the issuing bank against losses arising from guarantee issuance.

Answer 5: B

Rationale: **Section 77 of the Companies Act, 2013** mandates that any charge created over corporate assets (including current assets or cash FD margins pledged for NFB lines) must be registered with the ROC using **Form CHG-1 within 30 days** of creation.

Answer 6: C

Rationale:

$$\text{extPeakTenderExposure} = ₹1{,}500 \text{extCrimes} 4\% \text{extEMDimes(rac4extMonths12ight)} = ₹60.0 \text{extCrimes} 0.3333 = ₹20.00 \text{extCrores}$$

Answer 7: B

Rationale: Bank guarantee commissions are fully tax-deductible operating expenses under Section 37(1) of the Income Tax Act, 1961. Post-tax rate = $1.25\% imes (1 - 0.25168) = 0.9354\% extp.a.$

Answer 8: B

Rationale: In compliance with RBI directives, paper BGs issued without matching electronic transmission via the **Structured Financial Messaging System (SFMS IFN760 / SWIFT MT760)** are deemed invalid by government beneficiaries.

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Answer 9: C

Rationale: Due to the Principle of Autonomy, an issuing bank must honor a compliant first-written-demand within 24–48 hours without investigating underlying contract disputes, and immediately crystallize the payout into a forced demand loan against the bidder.

Answer 10: B

Rationale: GST charged on bank commission is an input service tax under Section 16 of the CGST Act, 2017, allowing commercial bidders to claim **100% Input Tax Credit (ITC)** against outward GST liabilities.

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